

4-2 Financial Statements

Using the adjusted trial balance shown in [Exhibit 1](#), the financial statements for [NetSolutions](#) can be prepared. The income statement, the statement of stockholders' equity, and the balance sheet are shown in [Exhibit 2](#).

Objective 2 - Prepare financial statements from adjusted account balances.

Exhibit 2

Financial Statements—NetSolutions

NetSolutions Income Statement For the Two Months Ended December 31, 20Y3			
Revenues:			
Fees earned	\$16,840		
Rent revenue	<u>120</u>		
Total revenues			\$16,960
Expenses:			
Wages expense	\$ 4,525		
Supplies expense	2,040		
Rent expense	1,600		
Utilities expense	985		
Insurance expense	200		
Depreciation expense	50		
Miscellaneous expense	<u>455</u>		
Total expenses		(9,855)	
Net income			<u>\$ 7,105</u>

NetSolutions Statement of Stockholders' Equity For the Two Months Ended December 31, 20Y3			
	Common Stock	Retained Earnings	Total
Balances, November 1, 20Y3	\$ 0	\$ 0	\$ 0
Issued common stock	25,000		25,000
Net income		7,105	<u>7,105</u>
Dividends		(4,000)	(4,000)
Balances, December 31, 20Y3	<u>\$25,000</u>	<u>\$ 3,105</u>	<u>\$28,105</u>

NetSolutions Balance Sheet December 31, 20Y3			
Assets			
Current assets:			
Cash		\$ 2,065	
Accounts receivable		2,720	
Supplies		760	
Prepaid insurance		<u>2,200</u>	
Total current assets			\$ 7,745
Property, plant, and equipment:			

Property, plant, and equipment.....		\$20,000	
Land.....			
Office equipment.....	\$1,800		
Accumulated depreciation—office equipment.....	(50)		
Book value.....		<u>1,750</u>	
Total property, plant, and equipment.....			<u>21,750</u>
Total assets.....			<u>\$29,495</u>
Liabilities			
Current liabilities:			
Accounts payable.....		\$ 900	
Wages payable.....		250	
Unearned rent.....		<u>240</u>	
Total liabilities.....			\$ 1,390
Stockholders' Equity			
Common stock.....		<u>\$25,000</u>	
Retained earnings.....		<u>3,105</u>	
Total stockholders' equity.....			<u>28,105</u>
Total liabilities and stockholders' equity.....			<u>\$29,495</u>

Chapter 4: The Accounting Cycle: 4-2 Financial Statements

Book Title: Financial and Managerial Accounting

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